

a policy that all new attorneys joining the firm must attend a class on budgeting and agree to live on a budget for the first year. His feeling was that if he could get them to live on a budget for a year, they would live on one forever. He tells his story to every new attorney and proudly points out that he and Sherry were able to purchase an affordable home, which they own debt-free.

IS A CONSOLIDATION LOAN ALWAYS WRONG?

One of the most common questions asked in coaching is, “Should we consolidate?” So the logical question a Christian needs to ask is, “Is it wrong to consolidate?”

The answer is no, not necessarily. But there are some inherent problems that must be dealt with before a consolidation loan is advisable.

First, unless the problems that created the need for a consolidation loan are corrected, you may find yourself worse off in the long run. For instance, if the debt was created by overspending on a monthly basis, the consolidation loan won’t solve that problem. It will only delay the inevitable. Until the problem of overspending is solved, no consolidation loans should ever be considered. Otherwise, a year or so later all the little bills will be back again, and when they are combined with the consolidation loan, the situation will be worse.

I recommend that no one consider a consolidation loan until he or she has been living for six months on a budget that controls overspending. Once that person has the overspending under control, it may make sense to substitute one large loan at a reduced interest rate for several smaller ones at higher rates.

Second, with a consolidation loan, there is always the tendency to stop worrying once the supposed solution has been found. Many people actually spend more the month after consolidating than they ever did before, often taking vacations or buying new televisions or computers. Why? Because they think the pressure is off and they can